IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, ALLAHABAD
CA (CAA) No. 03/ALD/ 2021
(Under Section 230&232 of the Companies Act, 2013)

IN THE MATTER OF:

GREEN GARDEN INFRAESTATE PRIVATE LIMITED, a private limited company incorporated under the Companies Act, 1956and having its registered office at 119-A, Faizabad Road, Near Indira Bridge, Lucknow, Uttar Pradesh 226007

..... Transferee Company

(Applicant No. 1)

DRISHTI ENTERPRISES PRIVATE LIMITED, a private limited company incorporated under the Companies Act, 1956 and having its registered office at Shalimar Eldee Plaza, Opp. HAL, Faizabad Road, Lucknow, Uttar Pradesh 226016

..... Transferor Company No. 1

(Applicant No.2)

AND

KHUSHI ENTERPRISES PRIVATE LIMIITED, a public limited company incorporated under the Companies Act, 1956 and having its registered office at Shalimar Eldee Plaza, Opp. HAL, Faizabad Road, Lucknow, Uttar Pradesh 226016

.....Transferor Company No. 2

(Applicant No. 3)

AND

SIGMA SERVICES AND ADVERTISERS PRIVATE LIMIITED, a public limited company incorporated under the Companies Act, 1956 and having its registered office at Chandpurharbans, Dabhasemar, Faizabad, Uttar Pradesh 224133

.....Transferor Company No. 3

(Applicant No. 4)

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AND

STARWEB IMPEX PRIVATE LIMIITED, a public limited company incorporated under the Companies Act, 1956 and having its registered office at C-13/124 Block, Sector-36, Noida-201301, Gautam Buddha Nagar, Uttar Pradesh 201301

.....Transferor Company No. 4

(Applicant No. 5)

ORDER DELIVERED ON: 19.02.2021

CORAM:
Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicant Companies: Shahid Kazmi; Advocate along with Ramesh Chandra Sharma; PCS

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

ORDER

1. This 1st motion Application under Sections 230& 232 of the companies Act, 2013 (herein after referred to as the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (herein after referred to as "the Rules") is filed by the transferor and the transferee Companies seeking directions of this Tribunal to dispense with the requirement of convening meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferee Company and to dispense with the requirement of convening meetings of Equity Shareholders the Transferor Companies.

2. In the Application, it is stated that the Transferee Company i.e. Green Garden Infraestate Pvt. Ltd. is a private company registered under the provisions of the Companies Act, 1956 having CIN No. U70102UP2012PTC051787. The Authorized Share Capital of the Transferee Company is ₹1,00,000/- divided into 10,000 Equity Shares of ₹10 each. The Issued, Subscribed and Paid-up Share Capital of the Company is ₹1,00,000/- divided into 10,000 Equity Shares of ₹10 each.

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The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure P-2.***

3. In the Application, it is stated that the Transferor Company No. 1 (Applicant No. 2) i.e Drishti Enterprises Private Limited is a private company registered under the provisions of the Companies Act, 1956 having CIN No. U74900UP2012PTC051787. The Authorized Share Capital of the Transferee Company is ₹40,00,000/- divided into 4,00,000 Equity Shares of ₹10 each. The Issued, Subscribed and Paid-up Share Capital of the Company is ₹28,37,500/- divided into 2,83,750/- Equity Shares of ₹10 each.

The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure P-4.***

4. In the Application, it is stated that the Transferor Company No. 2 (Applicant No. 3) i.e. Khushi Enterprises Private Limited is a private company registered under the provisions of the Companies Act, 1956 having CIN No. U74900UP2008PTC115359. The Authorized Share Capital of the Transferee Company is 10,00,000/- divided into 10,000 Equity Shares of ₹10 each. The Issued, Subscribed and Paid-up Share Capital of the Company is ₹9,50,000/- divided into 95,000 Equity Shares of ₹10 each.

The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure P-6.***

5. In the Application, it is stated that the Transferor Company No. 3 (Applicant No. 4) i.e. Sigma Services & Advertisers Private Limited is a private company registered under the provisions of the Companies Act, 1956 having CIN No. U74300UP1993PTC015252. The Authorized Share Capital of the Transferee Company is ₹24,00,000/- divided into

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24,000 Equity Shares of ₹100/- each. The Issued, Subscribed and Paid-up Share Capital of the Company is ₹20,77,500/- divided into 20,775 Equity Shares of ₹100 each.

The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure P-8.***

6. In the Application, it is stated that the another Transferor Company No. 4 (Applicant No. 5) i.e. Starweb Impex Private Limited is a private company registered under the provisions of the Companies Act, 1956 having CIN No. U51909UP2006PTC122502. The Authorized Share Capital of the Transferee Company is ₹86,00,000/- divided into 8,60,000 Equity Shares of ₹10/- each. The Issued, Subscribed and Paid-up Share Capital of the Company is ₹84,60,000/- divided into 8,46,000 Equity Shares of ₹10/- each.

The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure P-10.***

7. The Board of Directors of both the transferee and the transferor Companies in the meetings held on 15.11.2019, considered and unanimously approved the proposed Scheme of Amalgamation.

8. The Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2020.

9. The Board of Directors and management of the Transferor Companies and the Transferee Company have proposed the Scheme of Amalgamation to merge the transferor companies and Transferee company for the following reasons:

a. Greater integration and greater financial strength and flexibility for the amalgamated entity, which would result in maximizing overall shareholder value, and will improve the competitive position of the combined entity.

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b. Greater efficiency in cash management of the amalgamated entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, to maximize shareholders value.

c. Improved organizational capability and leadership, arising from the pooling of human capital who have the diverse skills, talent and vast experience to compete successfully in an increasingly competitive industry.

d. Greater access by the amalgamated company to different market segments in the conduct of its business.

e. Cost savings are expected to flow from more focused operational efforts, rationalization standardization and simplification of business process, and the elimination of duplication, and rationalization of administrative expenses.

10. It is stated that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956 is pending against the Applicant Companies.

11. The appointed date of proposed scheme of amalgamation is 31.12.2020.

12. It is stated that all the Equity Shareholders of the Transferor Company No. 1 cumulating to 8 (Eight) in numbers, Transferor Company No. 2 cumulating to total 4 (Four) in numbers, Transferor Company No. 3 cumulating to total 6 (Six) in numbers, Transferor Company No. 4 cumulating to total 8 (Eight) in numbers and of Transferee Company cumulating to total 2 (Two) in numbers have given their written consent by way of Affidavit for the proposed merger, thus the holding of meeting of Equity Shareholders of the transferee and transferor companies be dispensed with.

13. The Transferee and Transferor companies have no secured or unsecured creditors thus the holding of meeting of secured and unsecured creditors of the transferee and transferor companies be dispensed with.

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14. The Applicants have stated that after amalgamation, the members of the transferor companies shall get the shares of the transferee company in the following ratio:

i. 68 (Sixty-eight) equity shares of Drishti Enterprises Pvt. Ltd of 10 fully paid up for every 298 (Two Hundred Ninety-Eight) equity shares of Green Garden Infraestate Pvt. Ltd. Rs. 10 each fully paid up.

ii. 68 (Sixty-eight) equity shares of Khushi Enterprises Pvt. Ltd of 10 fully paid up for every 435 (Four Hundred and thirty-five) equity shares of Green Garden Pvt. Ltd. Rs. 10 each fully paid up.

iii. 68 (Sixty-eight) equity shares of Sigma Services & Advertisers Pvt. Ltd. of Rs.100 fully paid up for every 2074 (Two Thousand and Seventy-Four) equity shares of Green Garden Pvt. Ltd. Rs. 10 each fully paid up.

iv. 68 (Sixty-eight) equity shares of Starweb Impex Pvt. Ltd. of 10 fully paid up for every 78(Seventy-Eight) equity shares of Green Garden Pvt. Ltd. Rs. 10 each fully paid up.

15. The M/s S.K. Associates, Chartered Accountants, have certified that in compliance of Proviso to Section 232(3) of Companies Act, 2013, the accounting treatment proposed in the Scheme of Arrangement is inconformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013. Copy of compliance certificate is annexed and marked as ***Annexure P-15 (Colly.).***

16. Learned Counsel appearing for the Applicants, made the following contentions with respect to the dispensation of the requirement of convening meetings:

A. All the Equity Shareholders of the Transferor Companies and the Transferee company have given their written consents by way of affidavits. Therefore, the requirement of convening meeting of the Shareholders of the Transferor Companies and the Transferee Company may be dispensed with.

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B. Since there are no Secured and Unsecured Creditors of Transferee and Transferor Companies, therefore, the requirement of convening meeting of the Secured and Unsecured Creditors of the Transferee and the Transferee Companies may be dispensed with.

17. Having heard the learned counsel for the Applicants and by pursuing the material available on record it is felt appropriate to direct that, in view of the consent affidavits given by the Equity Shareholders of the Transferor Companies and the Transferee Company, the requirement of convening meetings of the Equity Shareholders of the Transferor Companies and the Transferee Company and the requirement of convening the meeting of secured and unsecured creditors of the transferee company for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation, is dispensed with.

18. Let notices be served by the Applicant Companies, as per the requirement of sub-Section (5) of Section 230 of the Companies Act, 2013 and Rule 6 of Companies (CAA Rules 2016), along with copy of the application and other documents including copy of the scheme of Amalgamation to the Central Government through the office of Regional Director, Northern Region Ministry of Corporate Affairs, ROC Kanpur, Official Liquidator, Allahabad, and Income Tax Department stating PAN No. of the Applicant Company and having jurisdiction over the Transferor Companies and such other relevant sectoral regulators/authorities, if applicable, which are likely to be affected by the proposed Scheme, by sending the same by hand delivery or by registered post/speed post within 7 days from date of this order for filing their representations, if any, on the petition within 30 days from the date of receipt notice.

19. The Applicant's company shall file affidavit within seven days regarding service of notice.

20. The Applicant's company is further directed to send notice through e-mail and also file affidavit. The notice shall specify that representation if

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any should be filed before this Tribunal within 30 days of date of receipt of such notices.

21. Such notices shall be sent under Section 230 (5) of the Companies Act, 02013 in specified form (CAA.3) of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

22. If no such representation is received by the Tribunal within the said period, it shall be presumed that such authorities is having no representation/objection on the proposed Scheme of Amalgamation

23. With the above directions CA No.03/ALD of 2021 is disposed off accordingly.

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JUSTICE RAJESH DAYAL KHARE
MEMBER (JUDICIAL)

Date: 19.02.2021

Shefali Vats
(LRA)